PRIVILEGED & CONFIDENTIAL - LEGAL ADVICE - DO NOT FORWARD OUTSIDE GROUP LEGAL

MEMORANDUM

To	Tomas Vidal, General Counsel
From	Sofia Brennan, Senior Legal Counsel (Commercial)
Date	3 December 2024
Re	Nordhaven MSA - Critical Service Failure, termination options and exposure

1. Summary

Nordhaven's monthly availability for the Cloud Hosting Service was below 99.5% in September (99.31%), October (99.42%) and November (99.12%) 2024. In my view this is a Critical Service Failure under Schedule 2, paragraph 4(b) of the MSA. That gives Veridian a right to terminate under clause 12.2(b) without any cure period, exercisable by written notice within 90 days of Veridian becoming aware. I recommend we treat 3 December 2024 as the awareness date (the date we received Nordhaven's dashboard figures for November) and therefore diarise **3 March 2025** as the last day to serve notice. If the formal November service report (due by 6 December under Schedule 2, para 5) is treated as the trigger, the outer date would be 6 March 2025, but we should not rely on it.

2. Contract position (as amended)

The operative contract is the MSA of 14 March 2022 as amended by Amendment No. 1 (effective 1 July 2023) and Amendment No. 2 (effective 1 October 2024). Key current terms: Initial Term to 31 March 2027; termination for convenience on 180 days' notice (Amendment 2 reversed the reduction to 120 days made by Amendment 1) and no convenience notice may expire before 31 March 2027; liability cap 150% of fees paid or payable in the preceding 12 months (Amendment 1; not changed by Amendment 2); data protection super-cap of the greater of EUR 2.5 million and 200% of such fees (new clause 11.2A); Total Monthly Fees EUR 78,200.

3. Service credits

Service credits are calculated on the Cloud Hosting Monthly Fee only (EUR 46,500). November availability of 99.12% falls in the 10% band, giving a credit of **EUR 4,650**. Nordhaven's offer of a 5% goodwill credit (EUR 2,325) is below the contractual entitlement and should not be accepted as full and final settlement; doing so risks an argument that we have waived or affirmed in respect of the Critical Service Failure. I recommend a short reservation-of-rights letter. Nordhaven's reliance on the upstream colocation provider as 'force majeure' fails because clause 13.1 excludes failures of subcontractors and failures within the supplier's control. Separately, the 12 November Severity 1 incident (02:10 to 08:25 CET, about 6 hours 15 minutes) breached the 4-hour resolution target in Schedule 2.

4. Informal assurances

Ms Brandt's email of 3 December suggests the parties could 'shake hands' on 90 days' notice. This is ineffective: clause 17.2 requires any variation to be in writing, refer expressly to the MSA and be signed by both parties, and states that emails and verbal assurances are not variations. Schedule 3 also confirms that changes to clauses need a formal amendment, not a Change Control Note. We should not rely on, or reply in terms that could be said to accept, any such suggestion.

5. Exposure and leverage

Fees paid or payable in the 12 months to end November 2024 are approximately EUR 916,400 (ten months at EUR 76,000 and two at EUR 78,200). The general cap is therefore approximately EUR 1,374,600 (150%). Data protection claims would be subject to the EUR 2,500,000 super-cap (200% of fees is about EUR 1,832,800, which is lower than the fixed floor). Consequential losses and loss of profit are excluded by clause 11.4. Notice under clause 12.2(b) must be given by courier or registered post to Nordhaven's registered office, with an email copy, under clause 15.1; email alone is invalid.

6. Recommendations

(i) Do not serve notice yet; commercial leverage is best preserved by keeping the right alive while requesting a remediation plan (by 17 January 2025). (ii) Send a reservation-of-rights letter this week. (iii) Reverse the finance accrual at EUR 2,325 and claim EUR 4,650. (iv) Board to decide by its 25 February 2025 meeting. (v) Update the contract register, which still shows 120 days' notice and an expiry of 31 March 2025. (vi) Start an RFP so that exit assistance (up to 6 months under clause 12.3) can be planned.